Disruption_X

May 2025

How we'll profit from a crypto miner's pivot to AI

In this month's issue

- Full steam ahead for the AI buildout
- From crypto mining to AI
- This company is cashing in on increased data center demand
- DGXX's path to profits
- America's fastest-growing stocks

Legendary investor Peter Lynch was famous for saying, "Invest in what you know."

Lynch is one of my investing heroes. Not only did he turn every $10,000 invested into $280,000 in just 13 years, but he also went out at the top.

Chris and I are adapting his common-sense investing approach for modern markets here in *Disruption_X*.

Lynch said, "The best way to find great investments is to look around and see what's changing in the way people live and work."

When running Fidelity's Magellan Fund, he bought **Walmart (WMT)**—a 30-bagger—because he saw new stores sprouting up everywhere. He first invested in Dunkin' Donuts because he read about it in a newspaper, liked its coffee, and saw stores being built around Boston.

What would Lynch see today if he were investing professionally?

Artificial intelligence (AI).

What I love about AI is that, unlike most frontier technologies, you can get your hands dirty with it. You don't have to read analyst reports about ChatGPT. The world's best AI systems are only a few clicks away and cost $20/month.

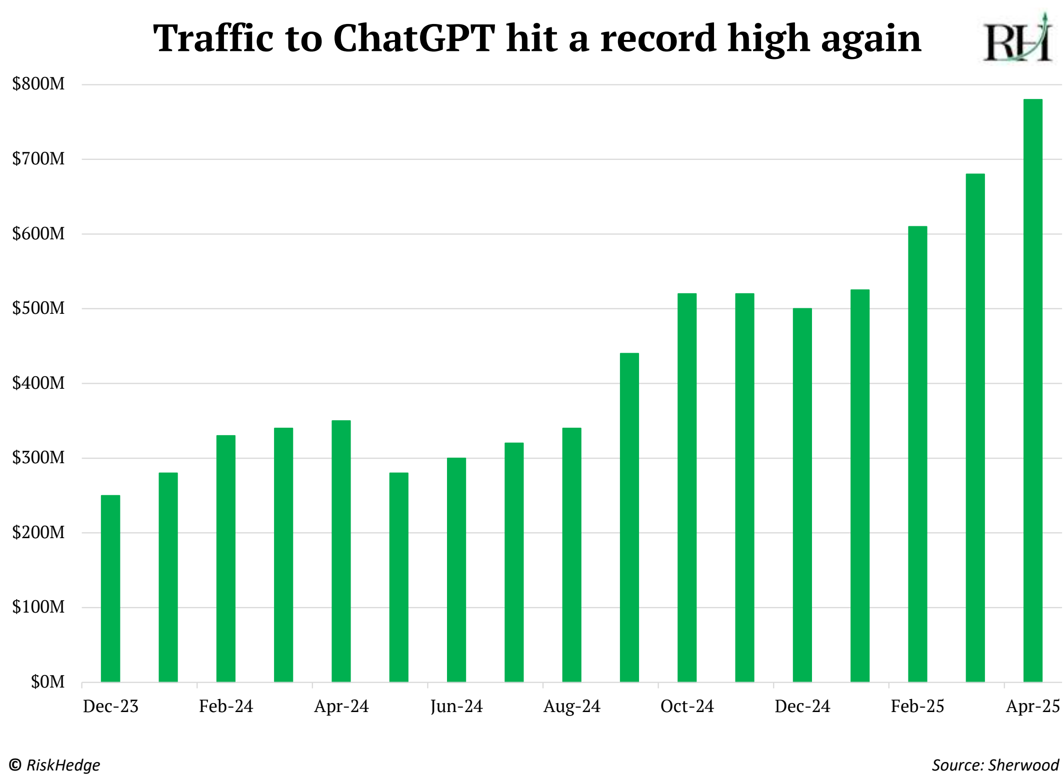
I use ChatGPT, **Google's (GOOGL)** Gemini, and xAI's Grok all day, every day.

They're my editor, research assistant, and graphic designer all rolled into one. I laugh at the fact that I used to spend countless hours sifting through Google Search looking for answers.

I literally can't imagine working without AI now. On a recent 11-hour flight to San Francisco, I was without my trusty AI sidekicks. For the first time ever, I thought about paying for internet on a flight.

I even have my six- and four-year-old kids using ChatGPT's Advanced Voice Mode. They call it "the lady on the phone." My daughter Aubrey asks it all kinds of random questions, like, "How far can mice see?"

AI usage is going vertical. Almost 800 million people use ChatGPT each month. Remarkable given it launched less than three years ago:



Back in March, I showed you how AI startups are growing faster than any other group in history. I'm incredibly impressed by this new generation of AI companies. They look more like the early days of Google than they do the last decade of tech companies.

Unlike the software-as-a-service cash incinerators, they're extremely lean, profitable, and growing quickly. Take Cursor, for example. The AI startup is raking in $300 million/year with less than 50 employees.

The real beauty of AI is that it's a general-purpose technology. You can use ChatGPT to plan a vacation or to homeschool your kids.

What sets AI apart is how fast it's spreading compared to past general-purpose technologies. Electricity was discovered in the 1800s, but it took nearly a century before it powered most homes and factories. It took 150 years before steam power became widespread in factories and railroads! AI is being integrated into everyday tools in a matter of months.

I think AI is the greatest productivity tool of our lifetimes.

Full steam ahead for the AI buildout

It's not just tech companies that are benefiting from AI. Industries you might not expect are seeing massive improvements, too.

Oil giant **BP PLC (BP)** boosted the output of its software developers by 70% over the past year using AI.

AI helped the Commonwealth Bank of Australia cut scam losses in half. How many tens of millions of dollars is that worth?

You don't have to look any further than this very letter to see the power of AI.

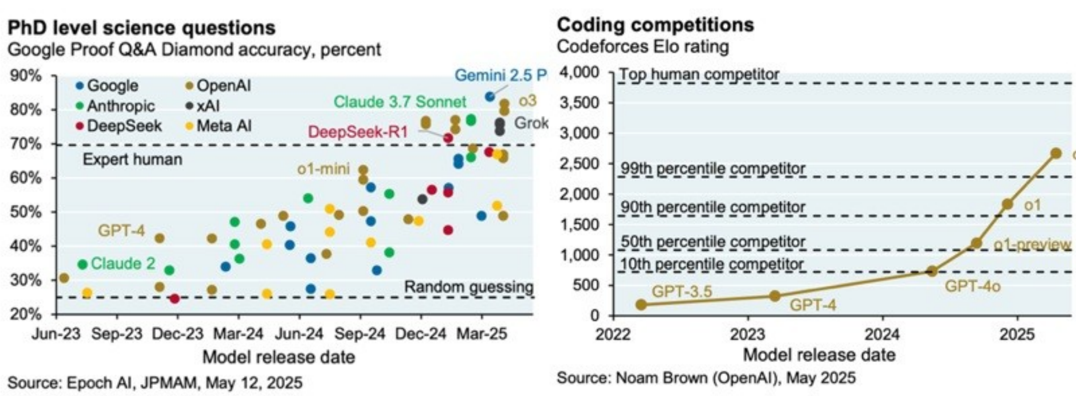
The founding of *Disruption_X* required us to analyze mountains of data about technology companies. In the past, this would have taken weeks of coding and manual analysis.

Instead, we used AI to write the code, process the data, and surface the insights we needed. What would have taken months now takes days.

What most people miss is how fast AI is improving. I've never seen a technology move as fast. AI models released just six months ago are basically dinosaurs.

A year ago, AI was more frustrating than helpful. Now, I can't imagine working without it.

As these charts show, you now have access to a PhD-level scientist or world-class coder in your pocket!

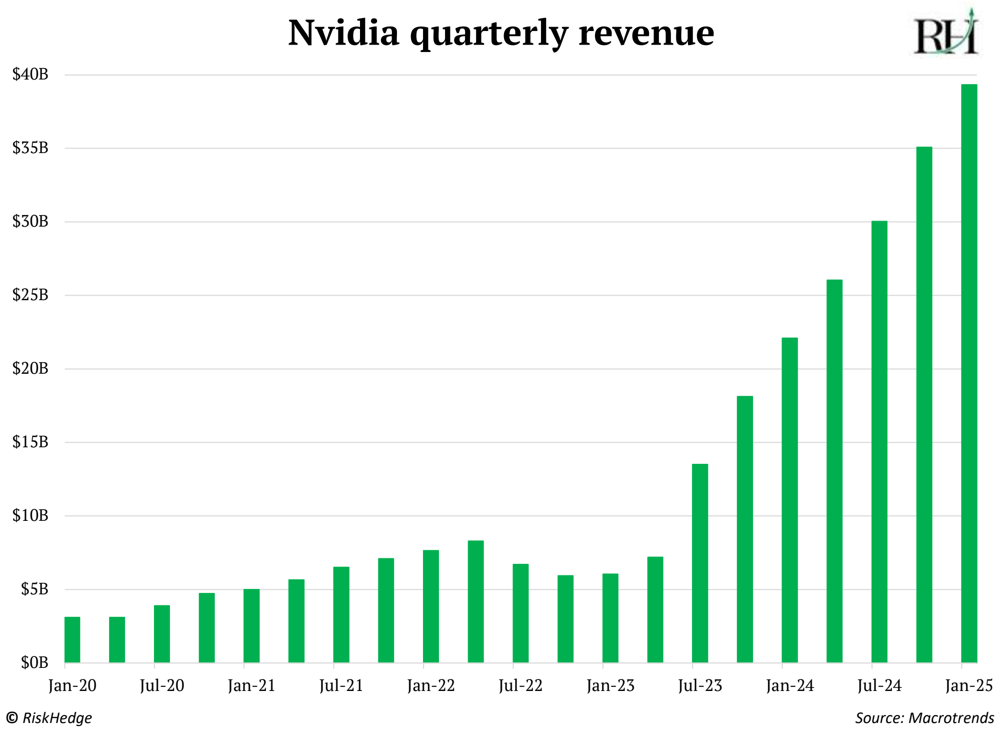


Source: @DKThomp on X

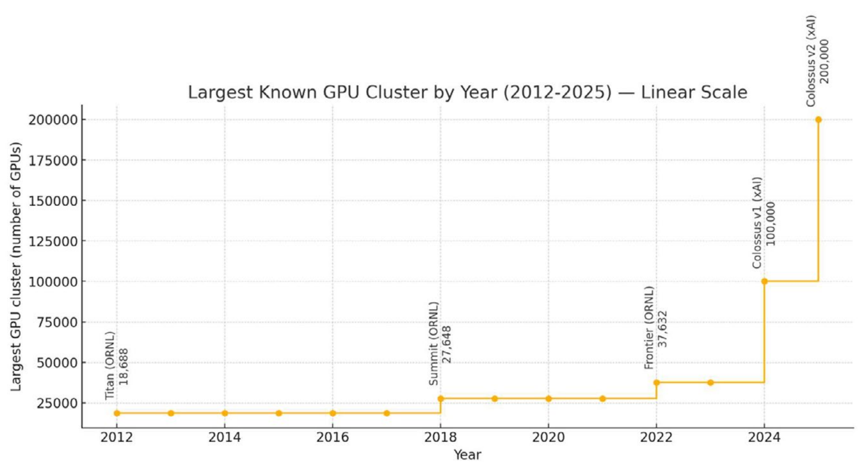
As we discussed in March, AI's improvement isn't magic. It's math. The two raw ingredients you need to make AI better are: data (books, essays, and web pages) and compute (GPUs).

Scaling laws are brutally simple: Crank up the data and computing power by 10X, and the AI's quality roughly doubles.

This is why **Nvidia's (NVDA)** revenues are going vertical...



It's also why we're building bigger and bigger GPU clusters inside data centers. If current trends continue, we'll have 1,000,000 chip clusters in just two years:



Source: Created by ChatGPT

Total dollars spent on compute will exceed the spend on crude oil in the next decade.

I think AI scaling laws are going to be the "Moore's Law" of the 21st century. The bedrock upon which so much innovation is built. They're one of the most—if not *the* most—important trends in the world today.

So, what does this mean for us? Full steam ahead for the AI buildout.

America's big tech giants reiterated their plans to spend a combined $350 billion+ on AI this year.

The recent rolling back of AI chip export restrictions is also extremely positive for US AI winners. Recent reports indicate:

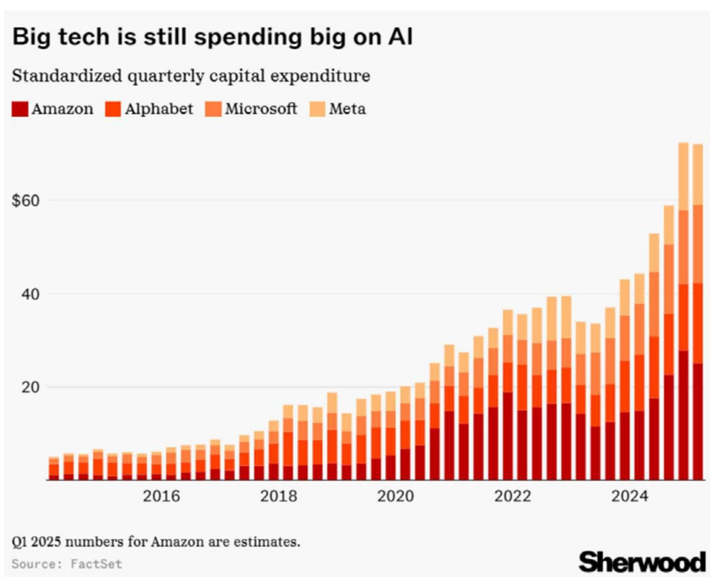
- Abu Dhabi's AI powerhouse G42 will buy up to 500,000 of Nvidia's top-tier chips each year.
- Nvidia will sell more than 18,000 of its latest AI chips to Saudi company Humain.

Houston, we're going to need a lot more AI chips, servers, data centers, and energy to power them.

In March, I was cautious about AI spending, saying:

> While spending on this physical AI buildout will continue… what matters to us as investors is the "rate of change." The percent growth is slowing down, even as the absolute dollar amounts hit record highs.

Q1 earnings confirmed this. Big tech's AI spending was lower than during the last three months of 2024:



Source: FactSet

Slowing growth could hurt big AI winners like Nvidia. But smaller firms can plough through any weakness.

The best analogy here is digital ad giant Google. In the wake of the 2008/09 financial crisis, global advertising spend plunged 13%. Meanwhile, Google—which was still a small player in ads back then—bucked the trend and grew 9% in 2009.

Little-known disruptors at the vanguard of the AI buildout are in a similar position today. I'll hand you off to Chris to tell you all about our newest *Disruption_X* recommendation.

From crypto mining to AI

You may have heard of a company called **CoreWeave (CRWV)**. It's an AI infrastructure provider that IPO'd on March 28. It raised $1.5 billion at about a $20 billion valuation.

CoreWeave's business is simple: Instead of companies buying and setting up their own infrastructure to run AI workloads—like GPU servers, cooling systems, and electricity—CoreWeave puts it all together in data centers and rents out "slices" of that computing power to anyone who needs it for AI or other high-performance computing (HPC) applications.

What you may not know is that CoreWeave started out as a cryptocurrency mining company called Atlantic Crypto in 2017.

After a couple of years of mining and the 2018 crypto crash, the company realized it could leverage its mining assets—powerful computers and supporting equipment—to provide cloud computing for other industries.

In 2019, it changed its name to CoreWeave and started renting out its compute power.

This was the start of CoreWeave's AI pivot, years before "AI infrastructure" was a hot topic. And this move set the stage for explosive growth once the AI revolution hit a few years later.

Today, CoreWeave operates 32 data centers. It generated $1.9 billion in revenue last year, up from just $229 million in 2023 and about $16 million in 2022. Less than one month after its IPO, the company boasts a market cap of $38 billion.

CoreWeave's journey from a startup crypto miner to a nearly $40 billion AI infrastructure powerhouse shows the enormous value this pivot can unlock.

I bring all this up because we've uncovered a tiny company following in CoreWeave's footsteps, but with distinct advantages that could allow it to scale even faster and more efficiently.

This company's stock has jumped 85% in the past month, but it still has a real chance of 10Xing from here in the next two to three years.

Before I introduce you to the company, I want to briefly hit on the opportunity it's going after… and why there's plenty of room in the market for it, CoreWeave, and other companies to succeed.

This company is cashing in on increased data center demand

Late last year, global management consulting firm McKinsey & Company published research on the exploding demand and lagging supply of data centers equipped to host advanced AI workloads.

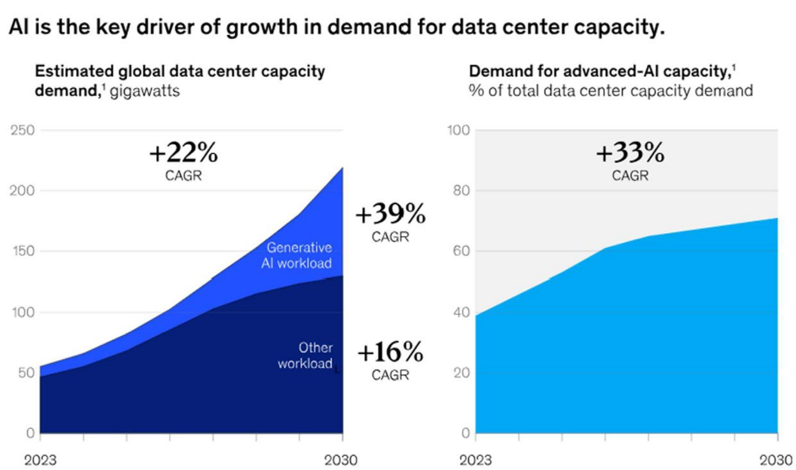
McKinsey says global demand for data center capacity could grow anywhere from 19% to 27% annually through 2030.

To avoid a deficit, McKinsey says, "At least twice the data center capacity built since 2000 would have to be built in less than a quarter of the time."

Furthermore:

> Demand for AI-ready capacity is the main driver of this potential deficit, as it must provide the high computational power and power density required by AI workloads.
>
> **Our analysis suggests that demand for AI-ready data center capacity will rise at an average rate of 33% a year between 2023 and 2030 in a mid-range scenario [emphasis added].**
>
> This means that around 70% of the total demand for data center capacity will be for data centers equipped to host advanced AI workloads by 2030.

You can see this demand increase in the chart below:



Source: McKinsey & Company

Digi Power X (DGXX) is positioning itself to capitalize on that AI-ready data center demand indicated by McKinsey's analysis.

Like CoreWeave, Digi started out as a crypto miner. Also like CoreWeave, Digi is leveraging the assets it acquired for mining to pivot into AI. Going forward, Digi will focus on developing cutting-edge, purpose-built, AI-ready HPC data centers.

Digi differs from CoreWeave, however, when it comes to the assets it's bringing to the table and leveraging to make this pivot into AI.

CoreWeave's key asset in shifting from crypto mining to AI was its GPUs. From 2017 to 2019, it mined **Ethereum (ETH)** instead of **bitcoin (BTC)**.

Back then, miners used GPUs to mine Ethereum. So CoreWeave acquired a bunch of GPUs and was able to repurpose them when it first pivoted to become a cloud computing provider.

Meanwhile, crypto mining requires robust power and cooling, but AI workloads push these requirements significantly further.

So, CoreWeave and its partners modified mining data centers to provide the higher rack densities, electricity loads, more advanced cooling technology, and redundant systems needed for AI.

However, CoreWeave did *not* own either its sites or the power infrastructure they required to run. It rented/leased all that from its partners.

Digi mines bitcoin, which uses ASICs rather than GPUs. So Digi can't leverage a stockpile of GPUs it used for crypto mining to pivot into AI like CoreWeave did because it doesn't have any.

But Digi *does* own its sites and the power infrastructure. To me (Chris), this is a much bigger deal than owning a bunch of old GPUs as the company pivots to Tier 3 AI-ready HPC data centers.

> AI and HPC require Tier 3 data centers, while crypto mining only needs Tier 1. These tiers, ranked from 1 to 4 by the Uptime Institute, indicate a facility's reliability, redundancy, and performance.
>
> A Tier 1 data center is like a budget motel—basic accommodations, few amenities, and occasional issues. It has a single distribution path for power and cooling and no redundant components, so site-wide shutdowns are required for maintenance or repair work. Per the Uptime Institute, a Tier 1 facility must deliver at least 99.671% uptime, translating to no more than about 28.8 hours of interruption in a calendar year.

> A Tier 3 data center is like a four-star hotel—reliable, premium service and many amenities. It has redundant components and multiple power distribution paths, so planned maintenance and repairs can occur without taking it offline. Per the Uptime Institute, a Tier 3 facility delivers at least 99.982% uptime, which limits downtime to about 1.6 hours annually.

These power infrastructure assets provide Digi with distinct advantages that could allow it to scale even faster and more efficiently than CoreWeave.

Let me explain…

Digi owns its own power plant and electrical substations. In 2023, it acquired a 60 megawatt (MW) power plant in upstate New York that's already feeding its operations.

It also owns transformers, substations, and has dedicated power capacity at all its 100% owned sites, which are located in North Tonawanda, NY… Buffalo, NY… Columbiana, Alabama… and North Carolina.

(**Note:** The North Carolina site is in development, but the other three are all currently operating and generating revenue with a combined capacity of about 100 MW.)

This is like owning the utility company for your data centers. It's a huge edge in an industry where electricity costs and reliability are arguably the most critical factors.

Digi can use all its power infrastructure assets to ensure its data centers have the capacity and low-cost, reliable energy they need to quickly shift into AI.

If other miners try to make the same pivot, they must engage in lengthy contract negotiations and sign costly leases.

What's more, asset ownership adds collateral value. So Digi can borrow against these hard assets to finance growth, typically on better terms than a company with just rented facilities.

Overall, Digi's ownership of all these power infrastructure assets gives it more control, lower operating costs, and faster scalability as it pivots to AI.

Digi's path to profits

Digi already operates a rapidly growing business.

In 2024, the company grew revenue 41.7% to $37 million. This revenue came from bitcoin mining, colocation services—renting out digital real estate, power, cooling, etc. in its facilities to other bitcoin miners—and selling electricity generated by its power plant in upstate New York.

Meanwhile, I expect the company's revenue growth and value to explode in the coming years as it pivots to providing AI infrastructure.

Digi is now building its first Tier 3 AI data center, which is purpose-engineered for workloads using Nvidia's most cutting-edge GPUs—the B200 and GB200—at its existing site in Columbiana, Alabama.

It's already secured the regulatory approvals by completing the necessary load studies. It's leveraging its existing energy infrastructure at the site—transformers, substation, and high voltage access. It's already talking to potential customers who want to rent the AI compute power it will provide. And it's partnered with a global leader in AI data centers for the development.

What's more, even though GPUs weren't part of Digi's original asset base it could leverage, it's since acquired a bunch of B200s.

When I talked to CEO Michel Amar last week, he wouldn't tell me (or anyone else) how many he's got at this point. But he did say the company is doing its first B200 server tests right now and will update investors on that soon.

I think Digi can generate at least $2 million in annual revenue per MW of Tier 3 AI data center capacity at the Columbiana, Alabama site. And that's a conservative estimate.

Three years from now, I expect Digi to have 55 MW of Tier 3 AI data center capacity at the site—also a conservative estimate. That means Columbiana alone could be generating $110 million in annual revenue.

At a revenue multiple of 3X—which is conservative and easily justified given the growth—the Columbiana site would be valued at $330 million. That's more than 5X the current market cap of the whole company today.

And that doesn't account for any of the 165 MW of Tier 1 and Tier 3 capacity the company will have online at its other sites.

Meanwhile, Digi Power has zero debt today and more than $10 million in bitcoin and cash on its balance sheet.

The company's going to need to borrow a lot to build out its Tier 3 capacity. But it will be able to leverage its assets and the anticipated (and predictable) future revenue following the completion of the projects. So, I don't expect significant hiccups when it comes to getting financing.

Digi still must execute on its plans. That's far from certain. But I still see a lot of value here that others haven't caught on to yet. And I'm not the only one…

Peter Lynch does, too. He's one of Digi's "major investors."

I started to dig into Digi when I found out Lynch was an investor in the company.

And the more digging I did, the more I saw what I presume Lynch saw: the company's ownership of its power infrastructure gives it a big edge in pivoting from crypto mining to AI quickly and efficiently, positioning it to profit from developing Tier 3 data center capacity.

Using my three-year (very conservative) forecasted compound annual revenue growth rate of 45%, I calculate a GARP Quotient for Digi of 0.04.

That's about as low as it gets… far below the 0.3 threshold that denotes the "extremely promising" tier we talked about in *The Growth Stock Anomaly* special report.

Finally, I must note that we're making a rare exception to our strategy of only targeting companies with a market cap of at least $200 million to invest in Digi today.

Digi's market cap is only about $62.5 million (it was more than twice that earlier this year). But considering the massive potential in the relative near term, and all the other factors I talked about, I think it's appropriate to make this exception.

Action to take: Buy one-third of a position in Digi Power X (DGXX) at current market prices. Wait for future guidance to buy more and to set a stop.

America's fastest-growing stocks

Each month, we highlight America's fastest-growing companies—real businesses with real top-line acceleration. But recently, we've noticed the same names keep surfacing.

That's not necessarily a red flag. True disruptors often deliver again and again. Still, it's time to make an important adjustment.

This month, we asked a sharper question: Who's growing fast… and still dirt cheap? In other words, which disruptors are being ignored by the market despite blowing past their peers in performance?

To answer that, we turned to our GARP Quotient. Remember, the lower the GARP, the more upside potential—especially when that growth is backed by real, scalable businesses.

Observations this month:

- Digital platforms are scaling physical infrastructure. From logistics network provider **GigaCloud Technology (GCT)** to digital ad exchange **MediaAlpha (MAX)**, several of these companies are building tech-driven bridges into massive legacy industries. They're proof that the next wave of innovation isn't just about apps—it's about digitizing how goods move, ads reach buyers, and services get delivered in the real world.

- Global consumer innovation is accelerating. This month's list includes companies from Turkey, Vietnam, and China—all posting rapid growth by solving hard, real-world problems. Whether it's **D-Market (HEPS)** digitizing retail or **XPeng (XPEV)** pushing EV adoption, frontier markets are out-innovating at scale.

- Some GARP numbers are absurdly low. **Immersion Corp. (IMMR)** grew revenue by more than 3,500% and still trades at a GARP of just 0.0036. **VinFast Auto Ltd. (VFS)** and D-Market also clock in below 0.02. These are the kinds of valuations that don't stay hidden for long.

<u>A few fast-growing stocks that have our attention:</u>

Amentum Holdings (AMTM)

Amentum is quietly becoming a force in defense and national security tech. It's not a flashy brand, but it's building the backbone of American resilience. With nearly $14 billion in annual revenue, AMTM is deeply embedded in federal infrastructure, cybersecurity, and mission-critical logistics.

Despite delivering 86% top-line growth over the past year, the stock is still trading at a GARP Quotient of just 0.46, putting it firmly in the "great" zone of our value-growth spectrum. If you're looking for an under-the-radar compounder aligned with geopolitical tailwinds and infrastructure modernization, Amentum deserves a close look.

EHang Holdings Ltd. (EH)

It's not often you find a stock growing nearly 300% year over year in a capital-heavy industry like aerospace. But EHang isn't a traditional aircraft maker—it's a pioneer in autonomous aerial vehicles (AAVs), aiming to make autonomous air taxis and cargo drones an everyday reality.

After years of regulatory hurdles and skepticism, the company's vision is finally materializing. EHang's lead in vertical mobility tech positions it as a potential category king in a space that could rival ride-sharing in total addressable market.

What's surprising? Despite the moonshot narrative, EH trades at a modest GARP of 0.49, suggesting the market still doubts its ability to scale profitably. That's exactly the kind of asymmetry we look for.

GigaCloud Technology (GCT)

GigaCloud is building the logistics and e-commerce backbone most people don't see, but that every online retailer increasingly needs. Its global B2B platform connects manufacturers in Asia directly with resellers in the US, slashing costs and shortening supply chains.

With 65% revenue growth, strong gross margins, and a market cap under $700 million, GCT still trades at a GARP under 0.84. Not the lowest on the list, but still highly attractive for a company scaling cross-border commerce in a post-COVID world.

And in a time when global trade is growing more unpredictable, that scalability becomes a strategic edge. Volatility isn't a headwind here—it's a competitive advantage.

The cheapeast, fast-growing stocks in America							
Rank	**Ticker**	**Name**	**Description**	**Mkt cap (million)**	**Stock Price**	**Revenue Growth**	**GARP Quotient**
1	VFS	VinFast Auto Ltd.	Vietnamese Evs	$8,350	$3.57	57%	0.0002
2	IMMR	Immersion Corporation	Haptic software	$240	$7.41	3539%	0.0036
3	HEPS	D-Market Elektronik	Turkish e-commerce	$757	$2.69	66%	0.0140
4	ZIM	ZIM Integrated Shipping	Container shipping	$2,330	$19.37	63%	0.4249
5	MAX	MediaAlpha, Inc.	Adtech platform	$697	$10.33	149%	0.4436
6	AMTM	Amentum Holdings, Inc.	Defense contractor	$5,360	$22.04	86%	0.4582
7	EH	EHang Holdings Limited	Chinese drones	$920	$17.58	288%	0.4854
8	XPEV	XPeng Inc.	Chinese Evs	$15,510	$19.98	33%	0.7248
9	ATAT	Atour Lifestyle Holdings	Boutique hotels	$3,480	$30.64	55%	0.7544
10	GCT	GigaCloud Technology Inc.	B2B logistics platform	$643	$18.52	65%	0.8366

For the most up-to-date guidance on our current positions, click here to view the portfolio online.

Chris Wood Stephen McBride

Chris Wood and Stephen McBride